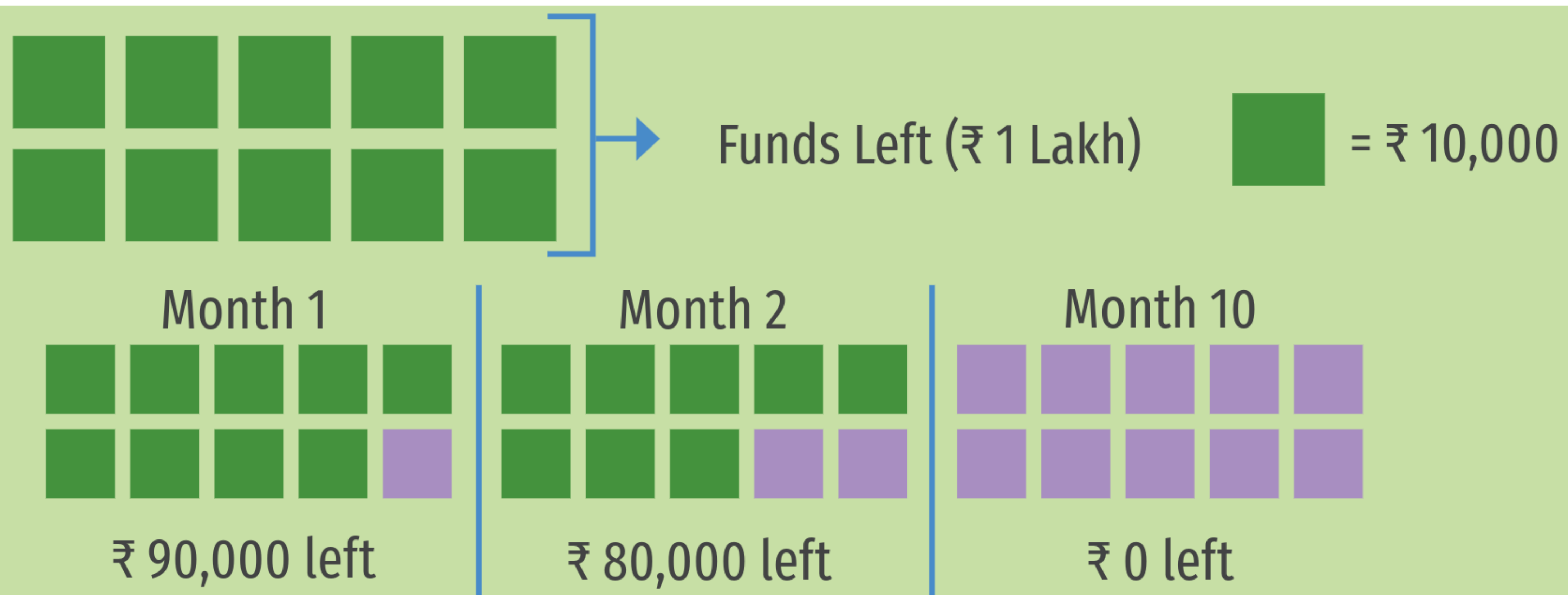


Runway

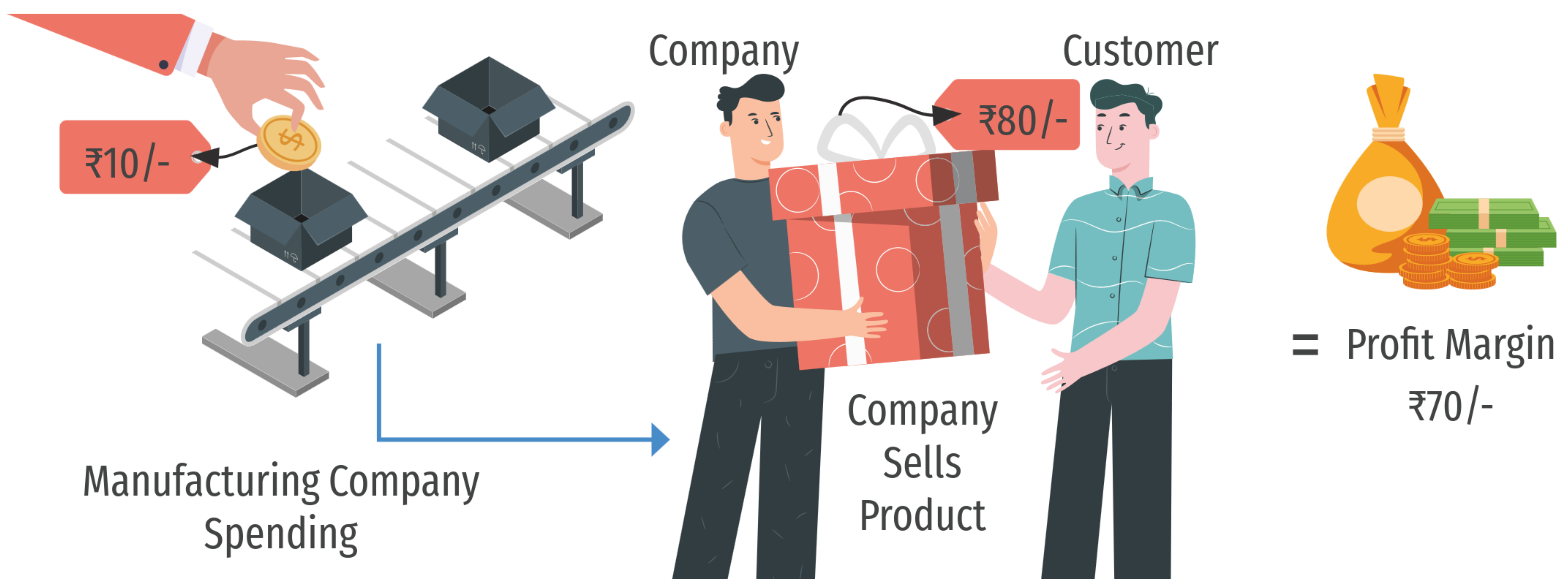
Runway measures the amount of time that a startup has before it runs out of money. To find out the runway, take the amount of money the startup has and divide it by their average monthly burn rate.



Runway can help assess the time it takes for a startup to reach a stable financial state. A startup's runway typically lasts 12–18 months, but the time required to attract customers and achieve profitability varies widely based on the business model, industry, and go-to-market strategy. A startup's focus on growth over immediate profitability requires additional funding rounds to scale sustainably. This has led to a growing customer base and improved products.

Gross Profit Margin

It indicates the profitability of their products or services. It is calculated by subtracting the cost to manufacture a product from its selling price. For instance, if a company spends ₹10 to manufacture a product and sells it for ₹80, the Gross Profit Margin would be $₹80 - ₹10 = ₹70$.



This means that for every product sold, the company is making ₹70 Gross Profit after covering manufacturing costs.

Key Takeaways

- A higher gross profit margin indicates strong pricing power and cost efficiency.
- It helps businesses assess profitability before considering operating expenses, taxes, and other costs.
- Companies with higher gross margins can reinvest more in growth, innovation, and customer acquisition.

